



These are the annual returns from tracking gold price from Mar 1982 to Mar 2017.

From the above graph, Gold INR resulted in an annualized return (CAGR) of $\sim 9.5\%$ after taxes, which has just about kept up with expense-inflation. But during the same period, Sensex gave an annualized return (CAGR) of $\sim 15\%$. History tells us that over the long-term, equity provides adequate returns for the risk involved, while gold does not hold any guarantee (sometimes returns are as low as -23%).

If investing in something that is the riskiest with no definite upside is your kind of thing, consider gold. To compound misery, there are so many more reasons to avoid it - scratch ratio, losses upon redeeming them, taxes, black market forces (*Google: Chile Gold*), Bretton Woods Law etc. Skipping gold altogether might seem anathema to you but it will make many of you 'Wiser and Richer' in the long run.

Bond - Matches inflation but sub-performs expense-inflation

Real Estate - too expensive and restricts flexibility

Gold - Lady, please!

This leaves us with equity as our preferred mode of investment to beat inflation. To balance out the volatility in stocks, we can add some percentage of fixed income to the total composition. This is where NPS/EPF come into the picture.

Why add fixed income instruments at all?